

## Fair value

Equity valuation confuses many investors. About half the time, markets are above their average valuation, the other half, below. Fair value is somewhere around the middle. Markets trade above or below fair value most of the time.

Fair value is a singular point in a market cycle that equities race by to the upside in a bull market; some years later, those same market prices will plummet past that spot in a bear market. It is a point in time that markets visit only briefly.

## Traffic

A friend who was meeting me for dinner called to say, “Sorry, I am gonna be a little late, I am stuck in traffic.” He is a stickler for good grammar, so I felt okay correcting him: “You are on the highway during rush hour on a workday near a major urban population center; you are not stuck IN traffic, you ARE traffic.”

We imagine life as this thing that happens around us, where we are the narrator of our own stories. In reality, we are merely actors in the midst of a much bigger play.<sup>[110](#)</sup>

## Consumers suffering from inflation

It is no fun paying more for essential goods and services than we have to. But we overlook the fact that some people *buy these goods regardless of price*—they may be suffering from inflation, but by paying up for those higher prices for discretionary items regardless, they are also creating *more inflation*.<sup>[111](#)</sup>

Commodity traders say: “The cure for high prices is high prices.” It discourages some demand, encourages more supply, or both. That helps bring down prices. Consumers that pay up for goods or services do not.